18
Conflict of laws I: jurisdiction and judgments

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ explain the English common law jurisdictional rules in civil and commercial matters
- ✓ discuss the English common law rules on recognition and enforcement of judgments
- ✓ understand the rules on civil jurisdiction and judgments under the Hague Convention on Choice of Court Agreements (2005)

1. INTRODUCTION

A commercial contract will frequently possess international elements that connect the transaction to more than one legal system. For instance, the contracting parties may belong to different states; the contract might be negotiated and concluded in another state; the performance of the contract, such as the sea carriage of a consignment of goods, might be between two different states; the insurance company or bank involved in the transaction might be located in a different state. The increasingly delocalized nature of commercial contracts is reflected in the English Commercial Court's standing as an international commercial court. The English court will apply conflict of laws rules to resolve the cross-border aspects of the transaction. Conflict of laws rules determine issues of jurisdiction, recognition and enforcement of judgments and choice of law.

An example will help illustrate the three pillars of conflict of laws. X Ltd, an English company, agrees to sell Y Ltd, a German company, a consignment of ready to wear apparel. When the goods are delivered, Y Ltd claims that the quality of the goods is below the standard agreed upon by the parties and refuses to pay. X Ltd is considering commencing proceedings for the payment of the price as it claims that the goods delivered match the description of the contracted goods and are fit for purpose.

X Ltd will strategically decide where to begin proceedings. The question of which court or courts will be entitled to adjudicate upon the case is answered by the conflict of laws rules on jurisdiction. In commercial contracts, the parties often agree that any dispute arising out of the contract shall be litigated before the courts of a particular state or states. The effect of such a choice of court agreement will also be determined by rules on jurisdiction.

Issues relating to the merits of the dispute may depend on what law is applied to the contract. For example, under English sale of goods law, the contract might include an implied

term as to fitness for particular purposes. On the other hand, the sale of goods law of another state might have no such implied term. The question of which law the court hearing the dispute should apply is determined by the conflict of laws rules on choice of law.

Before X Ltd starts legal proceedings it will also want to be sure that it can enforce any resulting judgment against Y Ltd's assets. This question will be determined by the conflict of law rules relating to the enforcement of judgments.

Conflict of laws is a unique legal subject. It has nothing to gain from a parochial approach based on domestic private law. Conflict of laws as a discipline can be best advanced if courts are aware of developments elsewhere. If the judiciary is reluctant to take a global view, it will fail to notice if its decisions are consistent with results in similar cases decided in other jurisdictions.

Prior to the last quarter of the twentieth century, conflict of laws was a common law subject. The UK's membership of the EU meant that significant areas of the subject became governed by European Union regulations. With Brexit, EU private international law in English courts has now come full circle. The UK's withdrawal from the EU has had a significant impact on the applicable private international law regime in the UK, as the EU Regulations which once dominated the field are no longer applicable. During the Brexit transition period, EU law and international agreements entered into by the EU continued to apply in the UK by virtue of Article 126 of the EU Withdrawal Agreement. These chapters will adapt to the fast-changing legal landscape by adopting an approach that objectively discusses English conflict of laws rules applicable from 1 January 2021. The chapters are intended to help readers grapple with the growing demands made of legal practice by the internationalization of commercial law.

In this chapter, the jurisdictional and enforcement of judgments rules applied by English courts to cross-border commercial transactions will be discussed. In the next chapter, the choice of law rules applicable to commercial transactions will be discussed.

Post-Brexit, the Brussels-Lugano regime for jurisdiction and judgments has been revoked in the UK. In its place, the English common law regime and the Hague Convention on Choice of Court Agreements will govern conflicts of jurisdictions and conflict of laws in international commercial transactions.

You should now be able to describe the three pillars of the conflict of laws in the context of an international commercial contract

2. THE ENGLISH COMMON LAW JURISDICTIONAL REGIME

The central tenet of Brexit's legislative overhaul is that, in proceedings commenced after 1 January 2021, UK courts will in most cases determine questions of jurisdiction over

defendants domiciled in EU Member States with reference to the residual national jurisdictional rules that formerly were applied only to non-EU domiciled defendants: Article 6 of the Brussels Ia Regulation. These residual national jurisdictional rules have been brought from the periphery to the fore by Brexit. These rules are collectively referred to as the English common law jurisdictional regime.

Under English civil procedural law, personal jurisdiction is founded on the actual or deemed service of the claim form on the defendant. There are two types of cases. First, service within England and Wales may be effected as of right and without the need for permission of the court. Second, service outside England and Wales could previously be effected as of right without the court's permission. In recent decades, the latter has included nearly all cases in which the English court's jurisdiction was founded on the Brussels-Lugano regime as well as most cases where service is to be effected in Scotland or Northern Ireland, and a small number of cases where jurisdiction was founded as of right, usually under the terms of an international convention. This class of case has been drastically narrowed by Brexit, but will still extend to cases where jurisdiction is founded on choice of court agreements, employment contracts and consumer contracts. Post-Brexit, the provisions in the Civil Procedure Rules for permission to serve claims out of the jurisdiction have assumed a greater significance in cross-border litigation.

The English common law rules on jurisdiction provide a wide and discretionary basis for asserting jurisdiction. However, the retention of the power of the UK courts to decline jurisdiction on the ground that there is another more appropriate forum (including EU Member State courts) has a narrowing effect on the wide and open basis on which an English court asserts its inherent jurisdiction.

The common law rules draw a distinction between the *existence* and the *exercise* of jurisdiction. Jurisdiction depends on service of the claim form. However, while the ground of jurisdiction is service, the exercise of the court's jurisdiction is always discretionary. Even if the claim *prima facie* falls within the jurisdiction of the English court, the defendant can apply for a stay of the proceedings and the jurisdiction will not be exercised if England is not the most appropriate forum, or 'forum conveniens'.

2.1 Common Law Rules on Service of Process as of Right

2.1.1 Individuals

Proceedings can be served on a defendant who is present in the jurisdiction. For an individual, transient presence is enough and there is no requirement of residence or domicile. The width of this rule is illustrated by the decision of *Maharanee of Baroda v. Wildenstein* [1972] 2 QB 283. The claimant, an Indian princess resident in France, bought a painting in France from the defendant, a French citizen and world-famous art dealer. It was later discovered that the painting was not by Boucher, as it was claimed to be, and the claimant issued proceedings in England. The proceedings were eventually served on the defendant while he was spending a couple of days at the Royal Ascot races in England. The Court of Appeal confirmed that he had been properly served, albeit he was in England on a short visit which had nothing to do with the claim.

2.1.2 Companies

Service on companies is subject to the same principles as service on an individual. The central question is whether or not the company is present in England. If the company is incorporated in England, there is no problem: proceedings can be served at its registered office in England. Foreign companies can also be served in England under CPR 6.9(7) by service at:

1. any place within the jurisdiction where the corporation carries on its activities; or
2. any place of business of the company within the jurisdiction.

The width of this rule can be seen from the decision in *Dunlop Pneumatic Tyre Co v. Cudell & Co.* [1902] 1 KB 342. The defendant was a foreign corporation which manufactured motor cars. It had hired a stand at a nine-day exhibition at Crystal Palace. It was held that, during the continuance of the show, the defendant was carrying on business so as to be resident at a place within the jurisdiction and therefore could be served with proceedings. Thus, even temporary business activities are sufficient. Furthermore, there is no requirement that the claim itself resulted from those activities within the jurisdiction.

2.2 Common Law Rules on Service Outside Jurisdiction

In all other cases where service is to be effected outside England and Wales, the court's permission is required. There are three hurdles, and the claimant must overcome all of them. First, the case must fall within one or more of the classes of case in which permission is required: Civil Procedure Rules, Rule 6.37(1)(a). The jurisdictional gateways on which an application for service out of the jurisdiction can be based are extensive and are now set out in the 22 sub-paragraphs of Practice Direction 6B accompanying CPR 6.36. The most relevant in commercial cases are likely to be those relating to claims in contract and tort:

KEY STATUTORY PROVISION
CPR PRACTICE DIRECTION 6B 3.1(6)–(9)

The claimant may serve a claim form out of the jurisdiction with the permission of the court under rule 6.36 where:

(6) A claim is made in respect of a contract where the contract:
  (a) was made within the jurisdiction;
  (b) was made by or through an agent trading or residing within the jurisdiction;
  (c) is governed by English law; or
  (d) contains a term to the effect that the court shall have jurisdiction to determine any claim in respect of the contract.
(7) A claim is made in respect of a breach of contract committed within the jurisdiction.
(8) a claim is made for a declaration that no contract exists where, if the contract was found to exist, it would comply with the conditions set out in para (6).

(9) A claim is made in tort where—
(a) damage was sustained, or will be sustained, within the jurisdiction; or
(b) damage which has been or will be sustained results from an act committed, or likely to be committed, within the jurisdiction.

The second hurdle in an application for service outside jurisdiction is that the claimant must demonstrate that the claim involves a 'serious issue to be tried': Civil Procedure Rules, r.6.37(1)(b). This is not the ordinary civil standard of proof of the balance of probabilities: *Vitkovice Horni a Hutni Tezirstvo v. Korner* [1951] AC 869, 880 (HL) (Lord Simmonds). That is because of the inherent limitations of interlocutory proceedings: the hearing will be short, there will be little opportunity to test the evidence and, in particular, there will be no cross-examination of witnesses. Furthermore, the court does not wish to prejudge issues which are for the eventual trial of the dispute, but the claimant must show a better argument on the material than the defendant and the court must be satisfied, given the limitations inherent in the nature of the proceedings, that jurisdiction is established. Lord Goff endorsed Lord Simmonds' earlier formulation as applied to the jurisdictional gateways in *Seaconsar Far East Ltd v. Bank Markazi Jomhouri Islami Iran* [1994] 1 AC 438. Lord Goff held that the existence of a reasonable prospect of success fell to be determined according to a lesser standard, namely that there should be a 'serious issue to be tried'. This has been held to correspond to the test for resisting an application for summary judgment. The requirement is fulfilled if the claimant can provide evidence that the dispute involves allegations that are not fanciful. In *Brownlie v. Four Seasons Holdings Inc* [2018] 1 WLR 192, Lord Sumption reformulated the effect of 'the better of the argument' test in *Canada Trust Co v. Stolzenberg (No 2)* 367 as follows (at [7]):

> … (i) that the claimant must supply a plausible evidential basis for the application of a relevant jurisdictional gateway; (ii) that if there is an issue of fact about it, or some other reason for doubting whether it applies, the court must take a view on the material available if it can reliably do so; but (iii) the nature of the issue and the limitations of the material available at the interlocutory stage may be such that no reliable assessment can be made, in which case there is a good arguable case for the application of the gateway if there is a plausible (albeit contested) evidential basis for it.

The third hurdle in an application for service outside jurisdiction is that the claimant must show that England is the 'proper place' to bring the claim: Civil Procedure Rules, r.6.37(3). This is the *forum conveniens* test and is the counterpart of the power to stay proceedings on the grounds of *forum non conveniens*. Although this is termed a discretionary test, it is not so much an exercise in discretion as an exercise of evaluation of the evidence in order to decide whether England or some other forum is the more appropriate one for the trial of the dispute. The onus is on the claimant to prove that England is 'the forum in which the case can suitably be tried for the interests of all the parties and the interests of justice' ([1987] AC 460, 476). To discharge this burden, the English court has to find that England is the dispute's centre of gravity. Claimants point towards a preponderance of connecting

factors that link England with the claim. These connecting factors include choice of law, the location of evidence and witnesses, the existence of parallel proceedings and a choice of court agreement. Even if England is not the dispute's centre of gravity, the court may yet hold that it is *forum conveniens* if it concludes that the claim cannot be tried justly in the more closely connected foreign forum. A defendant who disputes the court's jurisdiction or the validity of service may make an application challenging those matters, without thereby submitting to the English court's jurisdiction over the substance. Post-Brexit, there will be greater opportunity for defendants to contest service out and jurisdiction on the basis of *forum non conveniens*.

To an extent, these jurisdictional gateways closely relate to the special jurisdictional rules of the Brussels Ia Regulation. However, the jurisdictional gateways are more exorbitant, in particular, where the contract is governed by English law or was made in England and where the tort caused indirect damage or consequential loss in England (rr.(6)(a),(c) and 9). In such cases, the wide-ranging jurisdiction may need to be regulated by the discretion of the court to decide if England is the most appropriate forum to hear the case.

The test to be applied to determine the most appropriate forum was considered by the House of Lords in the seminal decision of *The Spiliada*.

KEY CASE
***SPILIADA V. CANSULEX* [1987] 1 AC 460**

A Liberian-owned vessel was chartered to carry a cargo of sulphur from Vancouver to India. The shipowners alleged that the cargo was wet when loaded and, as a result, caused severe corrosion to the vessel. They obtained permission to serve proceedings on the basis that the contract was governed by English law, but also had to show that England was the appropriate forum. Lord Goff set out the proper approach to be taken to that question, both in the case of service out and also in cases where the applicant sought a stay of proceedings validly commenced in England. In both cases, he said, the question at bottom, is to identify the forum in which the case can be suitably tried for the interests of all the parties and for the ends of justice.

In summary, in the case of a stay, the following apply.

1. 'The basic principle is that a stay will only be granted on the ground of *forum non conveniens* where the court is satisfied that there is some other available forum, having competent jurisdiction, which is the appropriate forum for the trial of the action, i.e. in which the case may be tried more suitably for the interests of all the parties and the ends of justice.' ([1987] 1 AC 460, 476)
2. The burden on the defendant is to show that there is 'another available forum which is clearly or distinctly more appropriate than the English forum' ([1987] 1 AC 460, 477) (first prong). In the first prong, the court is essentially weighing convenience factors in assessing which is the most appropriate forum.
3. If the court is not satisfied that there is another available forum which is more appropriate that is usually the end of the matter; the stay will be refused.
4. Once the court is satisfied that there is another available forum which is *prima facie* the appropriate forum for trial, the burden shifts to the claimant to show that there are special circumstances by

reason of which justice requires that the trial should take place in England ([1987] 1 AC 460 at 478) (second prong). In the second prong, the court can consider wider justice and legitimate juridical advantages to the parties.

In summary, in the case of permission to serve out of the jurisdiction, the following apply.

1. The basic principle is that permission will only be granted if the claimant establishes that England is the most appropriate forum, that is, the one in which the claimant's claim may be tried suitably in the interests of the parties and the ends of justice. The convenience factors which will be relevant will be the same as those which are assessed in the first prong of a stay application.
2. If the court concludes that England is clearly the appropriate forum it will ordinarily give permission to serve out. However, there may be circumstances by reason of which justice requires that permission should nevertheless be granted even if England is not on the face of it the most convenient forum (second prong). The court will consider all the circumstances going beyond the connecting factors between the dispute and the rival forums (that is, justice and juridical advantages). Thus, in the case of permission to serve out, the claimant effectively gets another bite at the cherry. Permission will be granted if England is the most appropriate forum for the claim or there are reasons of justice why the claim should be heard in England. The overriding aim of the first prong is to identify the forum with which the action has its most real and substantial connection. The connecting factors identified by Lord Goff included factors affecting convenience and expense (particularly the location of witnesses, factual and legal), but also other factors such as the law governing the relevant transaction and the places where the parties respectively reside or carry on business. In the second prong, Lord Goff recognized that it would not normally be enough for the claimant to show that there was some advantage to him in proceeding in England – what was an advantage to one party was likely to be a disadvantage to the other. The key was to have in mind the underlying fundamental principle, that is, where the case may be tried 'suitably for the interests of all the parties and the ends of justice' ([1987] 1 AC 460, 482).

2.2.1 Forum Conveniens: Appropriate Forum

The factors which the court is entitled to take into account in considering whether one forum is more appropriate than another, and the weight to be given to each factor, vary from case to case. The court will consider the location of the parties and the likely location of the evidence (for example, documents and factual and legal witnesses). Three factors which very often assume particular importance are:

(a) the existence of parallel proceedings;
(b) questions concerning applicable law; and
(c) most importantly, the existence of a choice of court agreement, which completely changes the picture.

Parallel proceedings occur where proceedings are taking place in two jurisdictions relating to the same matter between the same parties. At common law, the existence of parallel

proceedings might be a reason for allowing a stay or refusing permission to serve out. In *The Abidin Daver* [1984] AC 398, 411–12, Lord Diplock stated:

> Where a suit about a particular subject matter between a plaintiff and a defendant is already pending in a foreign court which is a natural and appropriate forum for the resolution of the dispute between them, and the defendant in the foreign suit seeks to institute as plaintiff an action in England about the same matter to which the person who is plaintiff in the foreign suit is made defendant, then the additional inconvenience and expense which must result from allowing two sets of legal proceedings to be pursued concurrently in two different countries where the same facts will be in issue and the testimony of the same witnesses required, can only be justified if the would-be plaintiff can establish objectively by cogent evidence that there is some personal or judicial advantage that would be available to him only in the English action that is of such importance that it would cause injustice to him to deprive him of it.
>
> Quite apart from the additional inconvenience and expense, if the two actions are allowed to proceed concurrently in the two jurisdictions the Courts of the two countries may reach conflicting decisions … an unseemly race to be the first to obtain judgment … might well ensue … Comity demands that such a situation should not be permitted to occur as between courts of two civilized and friendly states. It is a recipe for confusion and injustice.

The weight given to existence of parallel proceedings will depend on various factors, for example, how long proceedings have been underway, the reason the proceedings were started, and so on. In some cases the existence of parallel foreign proceedings 'may be of no relevance at all, for example, if one party has commenced the proceedings for the purpose of demonstrating the existence of a competing jurisdiction, or the proceedings have not passed beyond the stage of the initiating process'.

In contractual cases, the question of which law governs the contract will almost always be relevant to the question of *forum conveniens*, but again, the weight of this factor varies. Where issues of public policy are involved this is always likely to be an important factor.

In other cases, the court may view it as important that an English court deals with issues of English law or, vice versa, that issues of foreign law should be dealt with by the foreign court. Three distinct reasons have been given:

1. Efficiency, in that it avoids the delay, inconvenience and expense of establishing foreign law.
2. The courts of one country may lack the legal and cultural qualifications to establish and apply foreign law accurately.
3. The issues of foreign law involved might be of such a type that the courts whose law is applicable have an overwhelming interest in resolving them.

In such cases the weight given to these factors will vary depending on, for example, whether the case turns primarily on factual or legal issues and the nature of the other law and the

legal issue involved. For example, in *Amin Rasheed v. Kuwait Shipping Corporation* [1984] 1 AC 50, although the insurance policy at issue was governed by English law, the central issue in the case was the factual question of whether or not the vessel was engaged in smuggling when detained; if so, the loss was excluded. The local court in Kuwait was far better suited to deciding that than the English court. Furthermore, although there were questions of English law, the evidence was that the Kuwaiti court would apply English law and there was no reason to think the Kuwaiti court could not deal with those issues. Accordingly, permission to serve out of the jurisdiction was set aside.

The single most important factor which changes completely the nature of the *forum conveniens* exercise is the existence of a choice of court agreement.

2.2.2 *Forum Conveniens*: Interests of Justice

Even though the court might have determined the *prima facie* appropriate and most suitable forum for the trial, that forum can be displaced on justice grounds. In the second prong, the fundamental question is where the proceedings may be tried suitably for the interests of the parties and the ends of justice. For that reason, the mere fact that one of the parties has an advantage in proceedings in a particular jurisdiction cannot be decisive. In particular:

1. what is an advantage to one party is likely to be a disadvantage to the other; and
2. judicial comity prohibits a comparison of the system of law in one country with that in another.

This means that, as per *Lubbe v. Cape* [2000] 2 Lloyd's Rep 383, 390 (Lord Bingham):

> the plaintiff will not ordinarily discharge the burden lying upon him by showing that he will enjoy procedural advantages, or a higher scale of damages or more generous rules of limitation if he sues in England; generally speaking, the plaintiff must take a foreign forum as he finds it, even if it is in some respects less advantageous to him than the English forum … It is only if the plaintiff can establish that substantial justice will not be done in the appropriate forum that a stay will be refused.

Although differences in the procedures in the foreign court should not, without more, be enough, there are cases where a stay has been refused on the grounds of, for instance, excessive delay in the foreign jurisdiction (*The Vishva Ajay* [1989] 2 Lloyd's Rep 558), differences in the amount of damages recoverable (*The Vishva Abha* [1990] 2 Lloyd's Rep 312), or other procedural advantages.

If a party would be time-barred in the foreign jurisdiction, that may swing the balance away from an otherwise appropriate foreign jurisdiction in favour of granting permission to pursue or continue proceedings in England, which would not be time-barred, provided that the claimant acted reasonably in commencing proceedings in England and not unreasonably in allowing the foreign limitation period to pass. Again, much will depend on the facts of the case and in some 'extreme cases' the fact that proceedings have become time-barred in the

appropriate forum should be irrelevant, for example if the claimant had deliberately allowed time to expire simply to take advantage of a more generous time bar in England or obviously should have filed protective proceedings but did not. Even in cases where a time bar is *prima facie* relevant, the appropriate action in such a case might be to allow a stay if the time bar is waived.

Another factor which has been of crucial importance in two important decisions is the availability of legal aid or conditional fee arrangements. In *Connelly v. RTZ Corporation* [1998] AC 854, the claimants, who worked in uranium mines in Namibia, claimed they had contracted cancer as a result of that work. They brought proceedings against the parent company in England. The claimants were impecunious and could get legal aid in England, but Namibia was the jurisdiction with which the case had the most real and substantial connection. The House of Lords held that where a plainly more appropriate forum had been identified, in general, the plaintiff would have to take that forum as he found it, but that the nature and complexity of the case was such that it could not be tried at all without the benefit of financial assistance and that of expert scientific evidence. Thus, the availability of legal aid in England was the crucial factor in refusing to stay the English proceedings.

In *Lubbe v. Cape* [2000] 2 Lloyd's Rep 383 it was again accepted that England was not the most convenient forum – in this case it was South Africa (the claim arose out of asbestos mining in South Africa) – but again a stay was refused. The evidence was that the South African Legal Aid Board had excluded personal injury claims from the scheme. There was also evidence that no firm would take the case on a contingency fee basis. By contrast, the claimants had legal aid for their action in England. According to Lord Bingham, 'In the special and unusual circumstances of these proceedings, lack of the means, in South Africa, to prosecute these claims to a conclusion provides a compelling ground, at the second stage of the Spiliada test, for refusing to stay the proceedings here' ([2000] 2 Lloyd's Rep 383, 393). By contrast, the absence of established procedures in South Africa for handling group actions did not fall into the 'exceptional' category and, standing alone, it involved 'the kind of procedural comparison which the English court should be careful to eschew' ([2000] 2 Lloyd's Rep 383, 393).

✓ **You should now be able to explain the principles of the English common law jurisdictional regime in the context of commercial transactions**

2.3 Choice of Court Agreements

In commercial matters, the jurisdiction of the English court is frequently chosen in a choice of court agreement.

Choice of court agreements may be exclusive or non-exclusive. A non-exclusive choice of court clause prorogates the jurisdiction of a particular court where that court would not otherwise have jurisdiction. It is an enabling clause and does not prevent the parties from suing elsewhere. On the other hand, exclusive choice of court agreements regulate the parties' conduct by requiring them to sue exclusively in the chosen forum, with a corresponding obligation not to sue elsewhere.

2.3.1 Choice of Court Agreements under the Hague Convention on Choice of Court Agreements

Post-Brexit, the Hague Convention on Choice of Court Agreements (Hague Convention) has become a far more significant instrument because it regulates the enforcement of exclusive choice of court agreements in the civil judicial relationship between the UK and the EU. The Hague Convention applies to exclusive choice of court agreements in international cases in civil or commercial matters (Article 1(1) of the Hague Convention). The Hague Convention does not apply to non-exclusive choice of court clauses (Articles 1(1) and 3(a) of the Hague Convention). Consumer and employment contracts are excluded from the scope of the Hague Convention (Article 2(1) of the Hague Convention). Together with further exclusions under Article 2(2), this leads to the result that the Hague Convention primarily applies in 'business to business' or commercial cases.

The basic principles of the Hague Convention can be outlined in a few sentences. The chosen court in an exclusive choice of court agreement shall have jurisdiction to decide a dispute which falls within its purview, unless the agreement is null and void under the law of that state (Article 5 of the Hague Convention). Any court other than the chosen court shall suspend or dismiss proceedings to which an exclusive choice of court agreement applies (Article 6 of the Hague Convention). A court designated by a choice of court agreement has no power under the Hague Convention to stay its proceedings on *forum non conveniens* grounds or to stay its proceedings on the basis of parallel proceedings (Article 5(2) of the Hague Convention). This should be interpreted as the conferral of a right on the parties to invoke the jurisdiction of the chosen court. Fundamentally, the jurisdiction of the chosen court under the Hague Convention is mandatory, as opposed to the common law regime's discretionary jurisdiction over choice of court agreements. The common law jurisdiction regime will apply to choice of court agreements not covered by the Hague Convention because not all choice of court agreements concluded in favour of the English courts in civil or commercial matters will fall within the scope of the Hague Convention.

2.3.2 Choice of Court Agreements under the Common Law

Under the common law regime, choice of court agreements are crucially relevant to the exercise of the court's adjudicatory discretion. First, the court must determine, as a matter of construction, whether the agreement is exclusive or non-exclusive and if it covers the dispute in question.

The basic principle is that the existence of an exclusive jurisdiction agreement in favour of England will create a 'strong *prima facie* case' that England is the appropriate forum. Similarly, if there is an exclusive choice of court agreement in favour of another jurisdiction, the court will require a strong reason as to why permission should nevertheless be granted (or a stay declined).

Thus: an agreement to submit disputes to the courts of a particular country is a powerful factor when the court comes to exercising its discretion in matters of this kind. It is rare that the court will permit a party to maintain an action in England in breach of an exclusive choice of court clause or refuse to exercise its jurisdiction over a defendant if there is an exclusive choice of court agreement in favour of the courts of this country.

Unlike the position under the Hague Choice of Court Convention, however, the court ultimately retains discretion. One important situation in which the court may give permission to serve out, even though there is a choice of court agreement in favour of another jurisdiction, is where there are related proceedings involving a number of parties, only some of whom are bound by the choice of court agreement (*Donohue v. Armco* [2002] 1 Lloyd's Rep 425, 433–4).

Thus, the English courts do not traditionally take a simple contractual approach to jurisdiction agreements. If they did, one would expect an exclusive choice of court agreement to be enforced by way of right. Rather, the existence of a choice of court agreement is seen as a factor (albeit usually a crucially important factor) in the *Spiliada* exercise. This 'estoppel'-based approach can also be seen in the approach to non-exclusive choice of court clauses. Even though the parties have not, as a matter of contract, promised not to sue anywhere else, if they have agreed to the non-exclusive jurisdiction of the English courts:

> it simply should not be open to [the defendant] to start arguing about the relative merits of fighting an action in [another jurisdiction] as compared with fighting an action in London, where the factors relied on would have been eminently foreseeable at the time that they entered into the contract … Surely they must point to some factor which they could not have foreseen on which they can rely for displacing the bargain which they made i.e. that they would not object to the jurisdiction of the English Court. (*British Aerospace plc v. Dee Howard Co* [1993] 1 Lloyd's Rep 368, at 376)

There is a strong *prima facie* presumption that the jurisdiction referred to in the non-exclusive jurisdiction agreement is an appropriate one. The usual *Spiliada* factors, such as the cost of proceedings, the whereabouts of parties or the location of documents, are less powerful because of the agreement of the parties. Indeed, in a case which has little connection with England, it may be that the parties are taken to have agreed on a neutral forum for the resolution of disputes. However, there remains a difference between exclusive and non-exclusive clauses: although the parties are taken to have agreed that England is *an* appropriate forum, they have not agreed that England is *the* appropriate forum.

2.4 Anti-suit Injunctions

One of the ways in which parallel proceedings are dealt with under the common law is through the use of anti-suit injunctions.

An anti-suit injunction granted by the English court prevents the defendant from commencing or continuing with proceedings abroad. The injunction is directed and enforced against the defendant personally, not the foreign court. If the defendant breaches the order he will be in contempt of court and will accordingly risk a number of possible consequences:

1. the court has the power to make an unlimited fine or imprison a defendant in contempt of court – it can also seize the defendant's assets in England;

2. if the defendant is a party to proceedings in England, he may be prevented from appearing to defend those proceedings;
3. any judgment obtained by the defendant abroad will be unenforceable in England as a matter of English public policy.

The legal basis for an anti-suit injunction is the court's inherent equitable power to prevent injustice, enshrined in s.37 of the Supreme Court Act 1981.

Because an anti-suit injunction is an *in personam* order, aimed at the defendant, the English court must have personal jurisdiction over the defendant. Following the decision of the House of Lords in *Airbus Industrie CIE v. Patel* [1999] 1 AC 119 there is also a further jurisdictional requirement, namely that the English court has a sufficient connection with, or an interest in, the substantive dispute between the parties. In that case the defendants, who were British citizens, were passengers or representatives of passengers who were injured or killed in an air crash in Bangalore. They had brought proceedings in India against the employers of the pilot and the airport authorities, which had been settled. They subsequently commenced proceedings in Texas against a number of other parties, including the applicant, who had designed and manufactured the aircraft.

The applicant sought an injunction from the English court restraining the defendants from continuing with the Texas proceedings. It was clear that the choice of jurisdictions was really Texas or India. In those circumstances the House of Lords held that there was no jurisdiction to grant the injunction since, as a general rule, it was contrary to the doctrine of comity for an English court to grant an anti-suit injunction unless the English forum had a sufficient interest in, or connection with, the matter in question to justify such interference.

The connection will be clearest where the defendant is a party in parallel, related English proceedings, but it is not always necessary that England is the natural forum or even that it is a possible forum for the dispute.

Having established that it has jurisdiction to grant the injunction, the court will consider whether or not there are grounds for the granting of relief.

2.4.1 Jurisdiction to Grant an Anti-suit Injunction

The injunction will be granted wherever justice requires it. It was suggested in *Masri v. Consolidated Contractors International Company Sal* [2008] EWCA Civ 625 that an injunction might also be granted to protect the jurisdiction of the English court. It is not enough that there are concurrent proceedings and England is the *forum conveniens*. The clearest case is where the foreign proceedings are commenced in breach of an English exclusive choice of court agreement or English arbitration agreement.

2.4.2 Breach of Contractual Rights

It is unjust to breach an applicant's contractual rights. Thus, where the foreign proceedings are in breach of either an English arbitration agreement or an English exclusive choice of court agreement, an anti-suit injunction will usually be granted to prevent the defendant from commencing or continuing with proceedings (*Donohue v. Armco Inc* [2002] 1 Lloyd's Rep 425).

In such cases, the burden is effectively reversed and is on the defendant to show why relief should not be granted.

2.4.3 Unconscionable Conduct

Where there is no breach of contractual rights, the respondent's conduct must be unconscionable: see Lord Hobhouse in *Turner v. Grovit* [2002] 1 WLR 107, [25]. In a number of cases, the courts have also referred to the fact that the claim is vexatious or oppressive. The clearest case is where the defendant's conduct is fraudulent or in bad faith. In *Turner v. Grovit* [2002] 1 WLR 107 the applicant had brought proceedings in England for constructive unfair dismissal. The defendant, who was one of the defendants in those proceedings, commenced proceedings against the applicant in Spain claiming damages for breach of contract.

The Court of Appeal held ([2000] QB 345, 362):

> On the question of abuse of process, it is to my mind plain beyond the possibility of argument that the Spanish proceedings were launched in bad faith in order to vex the plaintiff in his pursuit of the application before the employment tribunal here … The documents lead to the ineluctable conclusion that, as I have said, the Spanish proceedings were intended and intended only to oppress the plaintiff and as such fall to be condemned as abusive as a matter of elementary principle.

Other, perhaps less clear-cut, examples of foreign proceedings which have been found to be an abuse of process, and thus restrained by injunction, include:

1. Foreign proceedings which penalize the legitimate conduct of a party in English proceedings. For example, in *Bank of Tokyo v. Karoon* [1986] 3 WLR 414, an English court restrained New York proceedings for breach of confidence brought against a bank which had supplied evidence concerning its customer's business in the course of English proceedings.
2. Cases where the respondent has invoked an exorbitant jurisdiction – this was one of the several grounds relied on in *Midland Bank v. Laker Airways* [1986] QB 689.
3. Foreign claims which are bound to fail – this was again a suggestion made in *Midland Bank v. Laker Airways* and also in *SIPC v. Coral Oil Co Ltd* [1999] 2 Lloyd's Rep 606, 609, where relief was granted because the foreign claim was 'utterly absurd'; similarly, an attempt to re-litigate abroad a case where judgment has been obtained in England can amount to vexation and oppression: see *Masri v. Consolidated Contractors International Company Sal* [2008] EWCA Civ 625.
4. Cases where the foreign claim has no legitimate purpose: for example, in *Glencore International AG v. Exter Shipping Ltd* [2002] EWCA 524 the defendants had embarked on parallel proceedings in the US state of Georgia, involving issues pending in English proceedings. The court asked two questions: first, if the same issues involved in both proceedings, so as to 'raise prima facie a case of vexatious conduct'; second, if so, if the foreign proceedings nonetheless have a 'legitimate purpose'. In the absence of any

credible explanation for the proceedings, the court drew the inference that they were simply part of a deliberate strategy of harassment and vexation designed to wear down the applicant by making it litigate on several fronts.

2.4.4 Access to Justice and Comity

Anti-suit injunctions raise issues of compatibility with access to justice under Article 6 ECHR and comity. Article 6 confers a right to access to justice. Can a respondent who is ordered not to continue with proceedings in another jurisdiction argue that that a right to a fair trial is infringed? In *The Kribi* [2001] 1 Lloyd's Rep 76, [42] (Aikens J), it was held that, although a party is guaranteed a fair trial, Article 6 ECHR does not extend to a choice of forum. Article 6 does not deal with where rights are to be exercised; the crucial point is that they must be exercised somewhere. On the facts, the parties had agreed to the exclusive jurisdiction of the English court and it would not deprive them of their Article 6 right to prevent them from continuing proceedings in Antwerp.

However, that reasoning – that is, that it does not matter where a trial takes place, provided it takes place somewhere – raises an issue which has already been touched on, that is, to what extent is it a requirement that proceedings must be possible in England? It seems from cases such as *Aerospatiale v. Lee Kui Jak* [1987] AC 871 that in cases where the object is to prevent the unjust consequences of litigation (and where the defendant's conduct is not inherently wrongful), the English court should be the natural forum for the claim, but this may not be required in cases of 'wrongful conduct'.

As well as access to justice implications, anti-suit injunctions, which indirectly restrain proceedings in another court, clearly also raise issues of comity. In particular, the English court must be satisfied that it is right to interfere rather than leave the foreign court itself to decide, for example, whether another court has jurisdiction under an exclusive choice of court agreement or the case is bound to fail. In some decisions, English courts have taken a broader view of comity as deference to the foreign court's decision whether the matter should proceed in its own court: see *Deutsche Bank AG v. Highland Crusader Partners Lp* [2009] EWCA Civ 725).

✓ **You should now be able to discuss choice of court agreements and anti-suit injunctions**

2.5 Enforcement of Foreign Judgments

Recognition means treating the claim that was adjudicated as having been determined once and for all. A defendant who is successful in foreign proceedings may wish to rely on a foreign judgment as a defence to English proceedings involving the same issue or cause of action. On the other hand, enforcement of a judgment in multistate transactions occurs where a judgment creditor is left without a remedy against the judgment debtor's assets in the original court and it becomes necessary to pursue the counterparty's assets in another state to satisfy the judgment debt. The regimes for the enforcement of judgments in the English courts are:

1. The common law regime for the recognition and enforcement of judgments.
2. Where a bilateral treaty exists between the foreign state and the UK, the statutory conditions for recognition and enforcement reflect the common law, but benefit from a streamlined procedure for enforcement.
3. The Hague Convention on Choice of Court Agreements 2005 provides for the recognition and enforcement of judgments arising from proceedings in a forum chosen in an exclusive choice of court agreement.
4. The Civil Jurisdiction and Judgments Act 1982 provides for the recognition and enforcement of intra-UK judgments. See ss.18 and 19, Schedules 6 and 7 of the Civil Jurisdiction and Judgments Act 1982.

2.5.1 Enforcement of Judgments under the Common Law

A judgment will be recognized under the common law if it is final and conclusive and for a definite sum of money that is not a tax or penalty. The court of origin of the judgment should be a court of competent jurisdiction according to English conflict of laws rules.

If the judgment creditor can satisfy the court that these criteria are met, the foreign judgment is *prima facie* entitled to enforcement. The burden then shifts to the judgment debtor to establish a defence.

A court of competent jurisdiction for the purposes of enforcement can be established by:

1. presence/residence of the defendant in that jurisdiction; or
2. submission to the jurisdiction of the court of origin of the judgment.

2.5.2 Sufficient Territorial Connection

The foreign court will be a court of competent jurisdiction if, at the time the proceedings were served on the defendant, he was resident and/or present in that jurisdiction. In the case of a company, rather than looking for mere economic presence, the Court of Appeal in *Adams v. Cape* [1990] Ch 433 set out a test based on physical presence through a place of business. The first defendant, Cape, an English company, presided over a group of subsidiary companies engaged in mining in South Africa and marketing of asbestos. Default judgment was eventually given against the defendant by a court in Texas and the claimants sought to enforce that judgment in England. They argued, inter alia, that the Texas court was entitled to take jurisdiction over the defendant by reason of its presence in Illinois through a marketing subsidiary in Illinois when the actions were commenced.

The Court of Appeal held that a corporation was likely to be treated by the English court as present in another country for the purposes of enforcement only where either:

1. such a corporation had established and maintained at its own expense in that other country a fixed place of business and, for more than a minimal period of time, had carried on its own business at or from such premises (a branch office case); or
2. a representative of the overseas corporation had, for more than a minimal period of time, been carrying on the overseas corporation's business in the other country at or from some fixed place of business.

The court further held that, in order to ascertain if a representative had carried on the corporation's business or his own, it would be necessary to investigate his functions and relationship with the overseas corporation and that the following points are likely to be relevant:

1. If the fixed place of business was originally acquired for the purpose of enabling him to act on behalf of the corporation.
2. If the corporation has directly reimbursed him for:
   (a) the cost of his accommodation; or
   (b) the cost of his staff.
3. What other contributions, if any, the corporation makes to the financing of the business carried on by the representative.
4. If the representative is remunerated by reference to transactions, for example, by commission, or by fixed regular payments or some other way.
5. What degree of control the overseas corporation exercises over the running of the business conducted by the representative.
6. Whether the representative reserves:
   (a) part of his accommodation; or
   (b) part of his staff for conducting business related to the corporation.
7. If the representative displays the corporation's name at his premises or on his stationery and, if so, he does so in such a way as to indicate that he is a representative of the overseas corporation.
8. What business, if any, the representative transacts as principal exclusively on his own behalf.
9. If the representative makes contracts with customers or other third parties in the name of the corporation or otherwise in such a manner as to bind it.
10. If so, whether or not the representative requires specific authority before binding the overseas corporation to contractual obligations.

On the facts of the case itself, the claimants were relying on indirect presence. The question was whether or not the defendant, Cape, was indirectly present in the USA through its subsidiary US marketing company. It was held that, since a substantial part of the subsidiary's business was in every sense its own business, it did not act as an agent of the Cape group. In any event, since it had no general authority to enter into contracts binding Cape and third parties and no such transactions were ever entered into, the defendants were not present in the USA through any subsidiary. In other words, the relationship of principal and agent must be made out and does not exist solely because of the parent–subsidiary nexus. On the facts, the marketing company was carrying on its own rather than the defendant's business.

2.5.3 Submission

Submission can take one of three forms.

1. If the defendant voluntarily participates in the foreign proceedings. Section 33(1) of the Civil Jurisdiction and Judgments Act 1982 provides:

(1) For the purposes of determining whether a judgment given by a court of an overseas country should be recognised or enforced in England and Wales or Northern Ireland, the person against whom the judgment was given shall not be regarded as having submitted to the jurisdiction of the court by reason only of the fact that he has appeared (conditionally or otherwise) in the proceedings for all or any one or more of the following purposes, namely:

(a) to contest the jurisdiction of the court;
(b) to ask the court to dismiss or stay the proceedings on the ground that the dispute in question should be submitted to arbitration or to the determination of the courts of another country;
(c) to protect or obtain the release of property seized or threatened with seizure in the Proceedings.

Thus, the defendant will not be held to have submitted, even if he argues the merits of the case, provided that is not inconsistent with also challenging the jurisdiction of the court.

2. The judgment debtor will be held to have submitted to the jurisdiction of a foreign court if he took part in the proceedings as claimant.
3. If the judgment debtor consented to the jurisdiction of the forum in which the judgment was obtained, usually through a choice of court agreement.

One of these two heads, presence or submission, must be satisfied. It will not suffice, for instance, that the foreign court had jurisdiction according to its own rules (*Buchanan v. Rucker* (1808) 9 East 192); that the foreign court exercised a jurisdiction which corresponds to that which English law would exercise itself (*Schisbsby v. Westenholz* (1870) LR 6 QB 155); that the foreign court was the natural forum for the dispute; that the debtor was domiciled or was a national of the country; or that the cause of action arose in that country (*Sirdar Gurdyal Singh v. Rajah of Faridkote* [1894] AC 670).

2.5.4 Defences to Enforcement of Judgments under the Common Law

There are a number of possible defences to enforcement under the common law. They can be outlined as follows.

(a) Natural justice: the defendant must have had notice of the proceedings and a proper opportunity to present his case.
(b) Substantial justice: in *Adams v. Cape* [1990] Ch 433 the trial judge in the Texas proceedings simply directed that the average award for each claimant should be $75,000 and counsel placed the claimants in four bands according to the seriousness of their injuries. The Court of Appeal indicated that the foreign proceedings offended against English views of 'substantial justice'. In cases involving a claim for unliquidated damages for a tortious wrong, the notion of substantial justice requires the amount of compensation to be assessed objectively by an independent judge, rather than subjectively by or on behalf of the claimant.

(c) Fraud: often divided broadly into two categories:
   (i) fraud on the merits – for example, that the judgment was obtained by the presentation of evidence which the other party knew to be false; or that the litigant was deprived of the opportunity to take part through trick or threats; or
   (ii) fraud on the court – for example, the court has accepted a bribe.

   By way of exception to general principle, the defendant is normally entitled to raise fraud even if the allegations of fraud:
   (i) were considered and rejected by the foreign court; or
   (ii) could have been raised before the foreign court but were not (see *Abouloff v. Oppenheimer* (1882) 10 QBD 295).

   However, fraud cannot be raised again if a finding was made in separate proceedings (see *House of Spring Gardens v. Waite* [1990] 2 All ER 990) or where to do so would constitute an abuse of process (*Owens Bank v. Etoile* [1995] 1 WLR 44).

(d) Public policy: It might be against public policy to enforce a judgment obtained in breach of an English anti-suit injunction (*Philip Alexander Securities v. Bamberger* [1997] ILPr 73) or which was obtained in flagrant breach of the European Convention on Human Rights. It is unlikely, however, that a judgment for punitive damages would be refused recognition on this basis.

(e) Conflicting judgments: A prior English judgment is a defence not only to subsequent English proceedings but also to the recognition or enforcement of a subsequent foreign judgment. If there are two conflicting foreign judgments – both of which satisfy the conditions for recognition and enforcement – the earlier judgment will prevail unless the circumstances are such that the party wishing to rely on the earlier judgment is estopped from doing so: see *Showlag v. Mansour* [1995] 1 AC 431.

(f) Nullity: If a judgment is invalid under foreign law, in the sense of being a nullity even without its having been set aside by the court, it cannot be recognized or enforced.

   However, if the judgment is merely voidable it will be recognized and enforced unless and until it is set aside: *SA Consortium General Textiles v. Sun and Sand Agencies Ltd* [1978] QB 279).

(g) Breach of a dispute resolution agreement: A judgment obtained in breach of a choice of court or arbitration agreement will not be enforced according to s.32 of the Civil Jurisdiction and Judgments Act 1982:
   (1) Subject to the following provisions of this section, a judgment given by a court of an overseas country in any proceedings shall not be recognised or enforced in the United Kingdom if:
      (a) the bringing of those proceedings in that court was contrary to an agreement under which the dispute in question was to be settled otherwise than by proceedings in the courts of that country; and
      (b) those proceedings were not brought in that court by, or with the agreement of, the person against whom the judgment was given; and
      (c) that person did not counterclaim in the proceedings or otherwise submit to the jurisdiction of the court …

(2) Subsection (1) does not apply where the agreement referred to in para (a) of that subsection was illegal, void or unenforceable or was incapable of being performed for reasons not attributable to the fault of the party bringing the proceedings in which the judgment was given.

(3) … a court in the United Kingdom shall not be bound by any decision of the overseas court relating to any of the matters mentioned in sub-section (1) and (2).

Thus, if the claimant sues in a foreign court on a contract which contains a provision that the courts of some other country shall have jurisdiction, or that the dispute shall be submitted to arbitration (whether in England or abroad), the ensuing judgment shall normally be refused recognition and enforcement. (*Tracomin SA v. Sudan Oil Seeds Co Ltd* [1983] 1 WLR 1026)

(h) Multiple damages: The Protection of Trading Interests Act 1980 applies to any judgment of a foreign court awarding multiple damages or based on a provision or rule of law specified in an order made under the Act. Such judgments shall not by enforced by any court in the UK.

It is not a defence to recognition or enforcement that the judgment was wrong on the merits, whether on the facts or the law. It is even immaterial that the foreign court misapplied English law in reaching its decision: see *Godard v. Gray* (1870) LR 6 QB 139.

2.5.5 Enforcement of Judgments under a Statutory Regime

Under the common law regime, if the judgment creditor wishes to enforce the judgment he will need to bring an action on the judgment. The action is founded on the judgment and not on the underlying cause of action, but some countries' judgments can be registered and then enforced directly. The Administration of Justice Act 1920 applies to many Commonwealth states, for example, Malaysia, Singapore and New Zealand. Provided the judgment can be recognized under the common law, a claimant may apply to register the judgment under the Act. The Foreign Judgments (Reciprocal Enforcement) Act 1933, which superseded the 1920 Act, applies to judgments from Australia, Canada, Guernsey, Jersey, India and Pakistan. The terms of the Act are very close to the common law, as this stood at the date of enactment, so, in substance, recognition will be according to the rules of the common law.

These two statutes allow the applicant to register the judgment for enforcement, it being then of the same force and effect as if it had been an English judgment.

2.5.6 Enforcement of Judgments under the Hague Convention on Choice of Court Agreements

The comprehensive jurisdictional and recognition and enforcement regime of the Brussels Ia Regulation is not replicated in the Hague Choice of Court Convention, which only provides for a convention based on 'exclusive' choice of court agreements. Article 8 provides the general requirements for recognition and enforcement of judgments under the Hague Convention. The judgment has to be rendered by a court of a Contracting State and the court has to be designated in an exclusive choice of court agreement. The concept of an exclusive choice of court agreement is defined in terms of the formal requirement laid down

in Article 3(c) of the Hague Convention and these requirements are imported into Article 8. The position under the Hague Convention is different from the Brussels-Lugano regime because the court addressed decides for itself whether the choice of court agreement is valid, but it is bound by any relevant findings of fact by the court of origin.

Once the general requirements have been satisfied, the judgment must be recognized unless there is some reason to the contrary. A review of the merits of the judgment is not permitted (Article 8(2) of the Hague Convention). However, this does not prevent recognition from being refused on the basis of public policy. If the proceedings were commenced in the chosen court but that court transferred the matter to another court in the same state (Article 5(3) of the Hague Convention), the obligation to recognize the judgments applies unless a party in the state of origin objected to the transfer in a timely manner (Article 8(5) of the Hague Convention).

If the general requirements for recognition and enforcement are satisfied, the judgment must be recognized and enforced, unless one of the specified grounds for refusal is established. Recognition or enforcement may be refused if (as per Article 9 of the Hague Convention):

(1) the agreement was null and void under the law of the State of the chosen court, unless the chosen court has determined that the agreement is valid;
(2) a party lacked the capacity to conclude the agreement under the law of the requested State;
(3) the document which instituted the proceedings or an equivalent document, including the essential elements of the claim,
    (i) was not notified to the defendant in sufficient time and in such a way as to enable him to arrange for his defence, unless the defendant entered an appearance and presented his case without contesting notification in the court of origin, provided that the law of the State of origin permitted notification to be contested; or
    (ii) was notified to the defendant in the requested state in a manner that is incompatible with fundamental principles of the requested state concerning service of documents;
(4) the judgment was obtained by fraud in connection with a matter of procedure;
(5) recognition or enforcement would be manifestly incompatible with the public policy of the requested state, including situations where the specific proceedings leading to the judgment were incompatible with fundamental principles of procedural fairness of that state;
(6) the judgment is inconsistent with a judgment given in the requested state in a dispute between the same parties; or
(7) the judgment is inconsistent with an earlier judgment given in another state between the same parties on the same cause of action, provided that the earlier judgment fulfils the conditions necessary for its recognition in the requested state.

✓ **You should now be able to appreciate the different regimes for the enforcement of foreign judgments in England**

19
Conflict of laws II: choice of law

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand choice of law for contracts
- ✓ understand choice of law for torts

1. INTRODUCTION

Once an English court assumes jurisdiction over a cross-border commercial matter, it will proceed to adjudicate on the merits of the dispute. Choice of law rules will determine the law applicable to the merits of the dispute.

The choice of law process in English courts consists of three stages (see *MacMillan Inc v. Bishopsgate Investment Trust PLC (No 3)* [1996] 1 WLR 387, 391–2 (Staughton LJ)):

1. The first stage involves characterizing the issue in dispute into a legal category such as contract, tort, unjust enrichment or property.
2. The appropriate 'connecting factor' in the applicable choice of law rule has to be identified. The connecting factor is a localizing element that links the issue before the court to a legal system.
3. The identified connecting factor has to be applied to lead to the applicable legal system.

The choice of law process falls to be undertaken in a 'broad internationalist spirit' in accordance with the principles of conflict of laws of the forum (see *Raffeisen Zentralbank Österreich AG v. Five Star Trading* [2001] EWCA Civ 68, [2001] QB 825, [26] (Mance LJ)).

Post Brexit, the UK has decided to incorporate the Rome I and II Regulations on choice of law for contractual and non-contractual obligations as retained EU law, with minor consequentialist amendments.

2. CHOICE OF LAW IN CONTRACT: THE RETAINED ROME I REGULATION

If the court characterizes the issue as contractual it will apply the choice of law rules for contract. The court will have to determine which regime applies:

1. The retained Rome I Regulation.
2. The retained Rome Convention on the Law Applicable to Contractual Obligations ('the Rome Convention') concluded in 1980 by the Member States of the European Community and implemented in the UK by the Contracts (Applicable Law) Act 1990, which entered into force on 1 April 1991.
3. The common law, which applies if the retained Rome I Regulation and the retained Rome Convention are not applicable.

After Brexit the Rome I Regulation was retained with some minor consequentialist amendments, and this chapter will focus on the rules therein. The retained Rome Convention will continue to apply to contracts entered into before 17 December 2009.

The retained Rome I Regulation applies 'in situations involving a conflict of laws, to contractual obligations in civil and commercial matters' (Article 1(1)). A pan-European approach has been adopted to the meaning of 'contractual obligations', which will include some legal relationships that do not give rise to enforceable contractual obligations according to English private law, such as contracts without consideration (see *Re Bonacina* [1912] 2 Ch 394). The Rome I Regulation applies whenever the English court is faced with a question involving choice of law in contract. This is irrespective of whether or not the law specified is the law of a Member State (Article 2).

In order to determine what law applies, first, the court must consider whether the parties themselves have chosen what law should govern. If they have not, the court must identify the law with which the contract is most closely connected.

2.1 Article 3: Express or Implied Choice of Law

According to Article 3 of the Rome I Regulation:

> A contract shall be governed by the law chosen by the parties. The choice shall be made expressly or clearly demonstrated by the terms of the contract or the circumstances of the case.

Thus, the parties can and often do expressly choose what law will govern the contract and, if they do, the courts will give effect to that choice. A choice of law agreement might provide that 'this contract shall be decided according to English law' or that 'any dispute arising out of this contract shall be governed by English law'. The parties can also agree on a subsequent choice of law which will supersede the law that was previously agreed upon by the parties (Article 3(2)). The parties can also select the law applicable to the entire or any part of

the contract (Article 3(1)). This idea of subjecting different terms of the contract to different laws is referred to as *depeçage* or splitting the applicable law.

Article 3 ventures beyond express choice of law by recognizing that there may be situations where it can be implied that the parties selected an applicable law.

2.1.1 Examples of Implied Choice of Law

The Giuliano–Lagarde Report, which was the official report accompanying the Rome Convention, OJ 1980 C/282/1, provided examples of situations where a choice of law might be implied:

(a) standard form contracts;
(b) choice of court and arbitration clauses;
(c) course of dealing between the parties.

(a) Standard Form Contracts

The first example given is where the contract is in a standard form which is known to be governed by a particular system of law, even though there is no express statement to this effect.

(b) Choice of Court and Arbitration Clauses

It is possible for the parties to stipulate that the English courts shall have exclusive jurisdiction but German law will govern the contract. The English court would apply German law after a party pleads and proves the content of German law as a question of fact through expert evidence. In similar vein, the parties can choose London as the seat of arbitration but provide that the contract will be governed by German law.

At common law, a choice of forum agreement is one of the strongest indications of an implied choice of law. Assuming that the parties have not provided otherwise, the courts at common law readily assume that the parties must have had in mind that the chosen court or arbitrator would apply its own law (*The Komninos S* [1991] 1 Lloyd's Rep 37). The Giuliano–Lagarde Report confirms that in some cases the choice of a particular forum may unequivocally demonstrate that the parties intend the contract to be governed by the law of that forum, albeit that this must always be subject to the other terms of the contract and circumstances of the case.

A similar inference is drawn under Recital 12 of the Rome I Regulation:

> An agreement between the parties to confer on one or more courts or tribunals of a Member State exclusive jurisdiction to determine disputes under the contract should be one of the factors to be taken into account in determining whether a choice of law has been clearly demonstrated.

(c) Course of Dealing between the Parties

The Giuliano–Lagarde Report refers to two situations where a course of dealing between the parties might be relevant. First, a previous course of dealing between the parties under

contracts containing an express choice of law may leave the court in no doubt that the contract in question is to be governed by the law previously chosen, where the choice of law clause has been omitted in circumstances which do not indicate a deliberate change of policy by the parties. Second, the Report notes that an express choice of law in related transactions between the same parties might lead to an implied choice of law.

2.2 Article 4: Applicable Law in the Absence of Choice

KEY STATUTORY PROVISION
ARTICLES 4 AND 19

ARTICLE 4

(1) To the extent that the law applicable to the contract has not been chosen in accordance with Article 3 and without prejudice to Articles 5 to 8, the law governing the contract shall be determined as follows:
   (a) a contract for the sale of goods shall be governed by the law of the country where the service provider has his habitual residence;
   (b) a contract for the provision of services shall be governed by the law of the country where the service provider has his habitual residence . . .
(2) Where the contract is not covered by para 1 or where the elements of the contract would be covered by more than one of the points (a) to (h) of para 1, the contract shall be governed by the law of the country where the party required to effect the characteristic performance of the contract has his habitual residence.
(3) Where it is clear from all the circumstances of the case that the contract is manifestly more closely connected with a country other than that indicated in para 1 or 2, the law of that country shall apply.
(4) Where the law applicable cannot be determined pursuant to paras 1 or 2, the contract shall be governed by the law of the country with which it is most closely connected.

ARTICLE 19

(1) For the purposes of this Regulation, the habitual residence of companies and other bodies, corporate or unincorporated, shall be the place of central administration. The habitual residence of a natural person acting in the course of his business activity shall be his principal place of business.
(2) Where the contract is concluded in the course of the operations of a branch, agency, or other establishment, or if, under the contract, performance is the responsibility of such a branch, agency or establishment, the place where the branch, agency or other establishment is located shall be treated as the place of habitual residence.

The general approach laid down in Article 4 of the Rome I Regulation is similar to that under the Rome Convention: first, the court applies the rules set out in Article 4 to see what law is to apply to the contract. Article 4(1) contains a series of cascading choice of law rules, intended to objectively identify the governing law of the contract for different types of contracts.

The rules can be displaced or disregarded in favour of another manifestly more closely connected law (Article 4(3)).

Under the Rome Convention, the court started with a general presumption in Article 4(2):

> it shall be presumed that the contract is most closely connected with the country where the party who is to effect the performance which is characteristic of the contract has, at the time of conclusion of the contract, his habitual residence or, in the case of a body corporate or unincorporated, its central administration. However, if the contract is entered into in the course of that party's trade or profession, that country shall be the country in which the principal place of business is situated or, where, under the terms of the contract, performance is to be effected through a place of business other than the principal place of business, the country in which that other place of business is situated.

Article 4(2) of the Rome I Regulation envisages a three-stage process:

1. identify the performance which is characteristic of the contract;
2. identify the party who is to effect that performance (that is, the characteristic performer);
3. find the relevant territorial connection for that party.

The rules applying to the specific types of contracts set out in Article 4(1) of the Rome I Regulation reflect the characteristic performance doctrine. The Regulation contains specific rules for a number of different classes of contract, in particular sales of goods and services, and applies the law of the place of habitual residence of the seller or the service provider.

2.2.1 Disregarding the Escape Clause in Article 4(3)

It will usually be relatively straightforward to apply the rules set out in Article 4 to arrive at the applicable law. Indeed, the rules are easy to apply and the result is clear and predictable. However, the rules can be rebutted under Article 4(3) in appropriate cases, and it is the question of when the rules can be rebutted which is likely to lead to the most difficult problems.

Essentially, there are three different tests. At one end of the spectrum, Articles 4(1) and 4(2) could be given the greatest possible weight, so that the rules can only be disregarded if the law identified has no real significance as a connecting factor. This was the approach adopted by the Dutch Supreme Court in *Société Nouvelle des Papeteries de l'Aa SA v. BV Machine-fabriek BOA* (1992 *Nederlands Jurisprudentie* 750). On the other hand, the court could assess all the connecting factors linking the contract to various legal systems and, if the contract is more closely linked to another country than the country selected under Articles 4(1) or 4(2), the escape clause can then be applied. The rules in Articles 4(1) and 4(2) operate only as a tie-breaker when the laws of two countries are otherwise equally connected.

Both of these positions are problematic. The first test – which gives the rules in Articles 4(1) and 4(2) the greatest possible weight – serves to deprive the exception of virtually any

effect. It will only apply in the most extreme of cases. In contrast, the option that elevates the escape clause in Article 4(3) to almost an equal position with the rules in Articles 4(1) and 4(2) deprives the rules of almost all effect, so that in every case it will be necessary to consider all the connecting factors and balance those against the objectively identifiable law under Articles 4(1) or 4(2).

Although there is some authority to support both of the extreme positions, a synthesis would be the ideal solution: an approach which accepts that Articles 4(1) and 4(2) provide the rules, but that the escape clause has a greater role to play than merely coming into play when the objectively identifiable law has no real connection with the dispute. The Rome I Regulation seems to adopt a variation of the intermediate model. Article 4(3) requires that the contract is 'manifestly more closely connected' with another country. If it had been intended to adopt the strong model, it would have done so explicitly, but it also rejects a weak model and makes it clear that the contract must be manifestly more closely connected with another country. One particular situation were the English courts have tended to displace the rules is where related contracts are governed by a different law. This situation is expressly recognized in Recital 20 to the Rome I Regulation: where the contract is manifestly more closely connected with a country other than that indicated in Article 4(1) or (2), an escape clause should provide that the law of that other country is to apply. In order to determine that country, account should be taken, inter alia, of whether the contract in question has a very close relationship with another contract or contracts.

2.3 Scope of the Applicable Law

Once the court has determined the law applicable to the contract, it will govern most of the substantive questions which arise under the contract. Thus, the existence and validity of a contract, or of any term of a contract, shall be determined by the law which would govern it if the contract or term were valid (Article 10). The applicable law will therefore govern questions concerning whether or not the parties have reached an agreement regarding the existence of a contract at all. Questions regarding the validity of a contract will include if consideration is required and if there was an intention to create legal relations. It seems that invalidating factors, for instance whether a contract is void for mistake or voidable for misrepresentation or non-disclosure, will also fall within the scope of Article 10. Formal validity is also tested according to the applicable law, in that a contract is valid if it satisfies the formal requirements of the applicable law. However, it will also be valid if it satisfies the requirements of the law where it was concluded or where either of the parties was when it was concluded (Articles 11(1) and (2)).

According to Article 12 of the Rome I Regulation, the applicable law shall also govern:

(a) interpretation;
(b) performance;
(c) within the limits of the powers conferred on the court by its procedural law, the consequences of a total or partial breach of obligations, including the assessment of damages in so far as it is governed by rules of law;

(d) the various ways of extinguishing obligations, and prescription and limitation of actions; and
(e) the consequences of nullity of the contract.

Article 1(3) provides that the Regulation does not apply to evidence and procedure, because questions of procedure are governed by the law of the forum. Furthermore, under the Rome I Regulation it is clear from Article 12(1)(c) that the assessment of damages is a matter for the applicable law. Thus procedure will be given a narrower role than at common law and will be limited to issues such as the mode and conduct of litigation, as identified by the Court of Appeal in *Harding v. Wealands* [2004] EWCA 1735.

2.4 Mandatory Rules and Public Policy

The applicable law under Articles 3 and 4 may be tempered or displaced by mandatory rules and public policy. The application of mandatory rules is essentially comparable to a sword, as such rules will override the applicable law of the contract. In contrast, the application of public policy is essentially comparable to a shield, as the applicable law may be displaced if it contravenes public policy.

2.4.1 Mandatory Rules

Rules can be mandatory in two different ways. Some rules of law cannot be derogated from by agreement. As Article 3 provides an unfettered choice of law, the parties to a contract may use that autonomy to escape provisions in the law that would otherwise apply under the objective choice of law rules of Article 4. Generally speaking, they will be permitted to do so, but this type of mandatory rule prevents the parties from excluding their operation in this way because the parties are not permitted (whether by an express choice of law or otherwise) to derogate from that rule.

The second type of mandatory rule goes further and applies to a contract irrespective of the applicable law. In other words, even if the parties have chosen a law other than English law pursuant to Article 3 and English law would not be the 'default' law pursuant to Article 4, the mandatory rule still applies. These rules are often referred to as 'overriding' mandatory rules.

The two types of mandatory rule are dealt with in different parts of the Rome I Regulation.

Article 3(3) deals with non-derogable mandatory rules and provides that, even if the parties have made a valid choice of law:

> Where all the other elements relevant to the situation at the time of the choice are located in a country other than the country whose law has been chosen, the choice of the parties shall not prejudice the application of provisions of the law of that other country which cannot be derogated from by agreement.

Article 3(3) only applies where all the elements relevant to the situation at the time of the choice (apart from party choice of law and party choice of jurisdiction) are connected with

one country only. This is a strict test, because the presence of a single connecting factor indicating another country will render Article 3(3) inapplicable. Under the Rome I Regulation, the parties' choice is also subject to the new Article 3(4), which allows for the application of Community law and thus cannot be derogated from by contract when all other elements are located in one or more Member States (see Case 381/98 *Ingmar GB Ltd v. Eaton Leonard Technologies Inc* [2000] ECR 9305).

Overriding mandatory rules are dealt with in Article 9. According to Article 9(2):

> Nothing in this Regulation shall restrict the application of the overriding mandatory provisions of the law of the forum.

Article 9(2) allows the court to apply any rules of its own national law which constitute 'overriding mandatory provisions'. The Regulation also gives a new definition of 'overriding mandatory provisions' in Article 9(1):

> Overriding mandatory provisions are provisions the respect for which is regarded as crucial by a country for safeguarding its public interests, such as its political, social or economic organisations, to such an extent that they are applicable to any situation falling within their scope, irrespective of the law otherwise applicable to the contract under this Regulation.

This provision explicitly draws on the decision in Case 369/96 *Arblade* [1998] ECR 8453, [31], where the CJEU applied what seems to be a narrow definition in order to decide if the relevant national legislation could be classified as public order legislation. The question now is if the relevant national law provision is 'crucial for safeguarding the public interest'.

As has been described, Article 9(2) allows for the application of mandatory rules of the forum.

Article 9(3) gives limited effect to mandatory rules of third states. Article 9(3) provides that:

> Effect may be given to the overriding mandatory provisions of the law of the country where the obligations arising out of the contract have to be or have been performed, in so far as those overriding mandatory provisions render the performance of the contract unlawful. In considering whether to give effect to those provisions, regard shall be had to their nature and purpose and to the consequences of their application or non-application.

When compared to Article 7(1) of the Rome Convention, this provision envisages a more circumscribed application of a third state's mandatory rules. This rule, to some extent, reflects the principle in English common law (applied in cases such as *Foster v. Driscoll* [1929] 1 KB 470 and *Regazzoni v. KC Sethia* [1958] AC 301) that the court will not enforce a contract which is illegal according to its place of performance. The court has a discretion to give direct

effect to the foreign law which renders performance illegal. In practice, even cases where Article 9(3) has the potential to apply are likely to be rare.

2.4.2 Public Policy

Article 21 of the Rome I Regulation states:

> The application of a provision of the law of any country specified by this Regulation may be refused only if such application is manifestly incompatible with the public policy ('ordre public') of the forum.

This Article allows the English court to disregard a rule of foreign law that would otherwise be applicable, by virtue of Articles 3 or 4, where to apply it would be manifestly incompatible with English public policy. The use of the word 'manifestly' stresses that the exception can only be applied in exceptional circumstances.

✓ **You should now be able to explain choice of law in contract**

✓ **You should also now be able to understand the choice of law process**

3. CHOICE OF LAW IN TORT: THE RETAINED ROME II REGULATION

If the court characterizes the issue in the case as a matter of tort, it will need to apply the choice of law rules for tort. There are three applicable regimes:

1. the retained Rome II Regulation;
2. the Private International Law (Miscellaneous Provisions) Act 1995; and
3. the common law – if neither of the statutory regimes applies, the court will apply the common law; in particular, defamation is excluded from both regimes and will be governed by the common law.

The Rome II Regulation came into effect on 11 January 2009. It applies in situations involving a conflict of laws in relation to non-contractual obligations (Article 1). The Regulation applies regardless of whether the law specified is the law of a Member State (Article 3) or not, and, accordingly, sets out choice of law rules in all non-contractual cases. As in the case of the Rome I Regulation, the definition of non-contractual matters must be given a community meaning. By Article 2(1) the Regulation extends to 'tort/delict, unjust enrichment, negotiorum gestio or culpa contrahendo'.

3.1.1 The Default Rule

The general rule is laid down in Article 4 of the Rome II Regulation.

KEY STATUTORY PROVISION

ARTICLE 4

(1) Unless otherwise provided for in this Regulation, the law applicable to a noncontractual obligation arising out of a tort/delict shall be the law of the country in which the damage occurs irrespective of the country in which the event giving rise to the damage occurred and irrespective of the country or countries in which the indirect consequences of that event occur.

(2) However, where the person claimed to be liable and the person sustaining damage both have their habitual residence in the same country at the time when the damage occurs, the law of that country shall apply.

(3) Where it is clear from all the circumstances of the case that the tort/delict is manifestly more closely connected with a country other than that indicated in paras 1 or 2, the law of that other country shall apply. A manifestly closer connection with another country might be based in particular on a pre-existing relationship between the parties, such as a contract, that is closely connected with the tort/delict in question.

As under the Rome I Regulation in relation to contract, the court carries out a two-stage process. The tort will be presumed to be governed by the law of the country where the damage occurred (Article 4(1)), or, in certain circumstances, where the parties have their habitual residence (Article 4(2)). Second, however, in appropriate cases, that law can be displaced in favour of a manifestly more closely connected country (Article 4(3)).

The difficulty arises in deciding if the presumption can be displaced under Article 4(3). Again it might be useful to start by considering the approach under the 1995 Act. A similar two-stage approach was set out in the 1995 Act: the tort was presumed to be governed by the law of the country in which the most significant element or elements of the tort occurred (s.11(2)), but that law could be displaced under s.12 if it 'appeared from a comparison of the significance of the factors which connected the tort with each country that it was substantially more appropriate that another law should apply to that issue'. Various factors assumed particular importance. First, if the place where the tort occurs is fortuitous, it is likely to be easier to displace the presumption – for example, if two friends go on holiday abroad and are injured in an accident there (*Edmunds v. Simmonds* [2001] 1 WLR 1003). Similarly, the Rome II Regulation gives one example of when the closer connection might be found, namely where there is a pre-existing relationship between the parties.

Conversely, according to the Court of Appeal in *Harding v. Wealands* [2004] EWCA 1735 (Waller LJ), it is very unlikely that the general rule would be displaced where it was also the national law of one of the parties. In such a case, it is also unlikely that the tort could be manifestly more closely connected with another country for the purposes of Article 4(3) of the Rome II Regulation.

At common law, the courts sometimes adopted an approach similar to American governmental interest analysis by enquiring whether the relevant countries had an interest

in their law being applied. Such an analysis is hard to fit into the rubric of objectively identifiable choice of law rules.

According to Article 14 of the Rome II Regulation, the parties may agree to submit non-contractual obligations to a law of their choice. The common law and the 1995 Act did not envisage an express or implied choice of law by the parties.

3.1.2 Scope of the Applicable Law

According to Article 15, the applicable law governs the following matters:

> (a) the basis and extent of liability, including the determination of persons who may be held liable for acts performed by them; (b) the grounds for exemption from liability; any limitation of liability and any division of liability; (c) the existence, the nature and the assessment of damage or the remedy claimed; (d) within the limits of powers conferred on the court by its procedural law, the measures which a court may take to prevent or terminate injury or damage or to ensure the provision of compensation; (e) the question whether a right to claim damages or a remedy may be transferred, including by inheritance; (f) persons entitled to compensation for damage sustained personally; (g) liability for the acts of another person; (h) the manner in which an obligation may be extinguished and rules of prescription and limitation, including rules relating to the commencement, interruption and suspension of a period of prescription or limitation.

The Rome II Regulation does not apply to evidence and procedure because questions of procedure are governed by the law of the forum. The difficult question is where to draw a distinction between procedure and substance. In *Harding v. Wealands* [2007] 2 AC 1 the House of Lords had to consider this distinction between questions of substance and procedure in the context of a claim in tort. The House of Lords held that the Private International Law (Miscellaneous Provisions) Act 1995 codified the common law distinction between heads of damage (substance) and assessment of damage (procedure). On the basis of that traditional distinction, their Lordships found that all of the rules of New South Wales law went to the assessment of damages and were therefore procedural.

The role for procedure will be more limited than that at common law because Article 15 explicitly subjects the assessment of damages to the applicable law.

The applicable law can be overridden by the law of the forum's mandatory rules (Article 16) and public policy (Article 26).

✓ **You should now be able to explain choice of law for torts**